DETAILED PROJECT REPORT

PREMJI RAMESHJI ASSOCIATES

Modular Furniture Manufacturing Unit

CHAPTER – 1

EXECUTIVE SUMMARY

PREMJI RAMESHJI ASSOCIATES proposes to establish a **Modern Modular Furniture Manufacturing Unit** at **Plot No. 25, MSME Industrial Park, Vavilala, Sangareddy District, Telangana**.

The project aims to manufacture high-quality modular furniture using modern woodworking machinery such as CNC Panel Saw, Edge Banding Machine, CNC Router, Multi Boring Machine and other advanced equipment.

The enterprise will cater to residential, commercial, institutional and industrial customers across Telangana and neighbouring states.

The project has been designed considering future expansion, modern manufacturing techniques and increasing demand for customized modular furniture.

Project Particulars

Particular	**Details**
Project Name	Modular Furniture Manufacturing Unit
Unit Name	PREMJI RAMESHJI ASSOCIATES
Plot No.	25
Plot Area	500 Sq.m.
Project Cost	₹115.00 Lakhs
Promoter Contribution	₹80.00 Lakhs
Bank Loan	₹35.00 Lakhs
Employment	15 Persons
Connected Load	65 kW

CHAPTER – 2

PROMOTER PROFILE

Mr. PREMARAM is the Proprietor of PREMJI RAMESHJI ASSOCIATES.

He possesses practical knowledge and experience in modular furniture manufacturing, interior execution, customer handling, project management and modern woodworking systems.

The promoter has planned to establish a modern manufacturing unit capable of supplying premium quality modular furniture with high precision and timely delivery.

His vision is to create a professionally managed furniture manufacturing company capable of serving residential, commercial and institutional projects.

The promoter has arranged substantial own investment in the project, demonstrating a strong commitment toward successful implementation.

CHAPTER – 3

COMPANY PROFILE

PREMJI RAMESHJI ASSOCIATES is a proposed manufacturing enterprise engaged in manufacturing modular furniture and customized interior products.

The company proposes to manufacture:

- Modular Kitchens
- Wardrobes
- TV Units
- Office Furniture
- Bedroom Furniture
- Storage Units
- Reception Counters
- Customized Furniture

The company intends to establish itself as a reputed manufacturer by offering superior product quality, innovative designs and excellent customer service.

CHAPTER – 4

PROJECT BACKGROUND

The Indian furniture industry is witnessing continuous growth due to rapid urbanization, changing lifestyles, increasing residential construction and expansion of commercial infrastructure.

Modern customers prefer factory-manufactured modular furniture because of better finish, faster installation, durability and customization.

Hyderabad and surrounding districts have experienced substantial growth in residential apartments, villas, commercial buildings and office spaces, creating significant demand for modular furniture.

The proposed project has been conceptualized to meet this growing demand through efficient manufacturing practices.

CHAPTER – 5

PROJECT OBJECTIVES

The major objectives of the project are:

- Establish a modern modular furniture manufacturing facility.
- Manufacture premium quality modular furniture.
- Generate employment opportunities.
- Supply quality products at competitive prices.
- Promote "Make in India" manufacturing.
- Develop long-term relationships with customers.
- Increase production capacity in future.
- Achieve sustainable business growth.

CHAPTER – 6

LOCATION ADVANTAGES

The proposed manufacturing unit will be located at:

Plot No. 25
MSME Industrial Park
Vavilala
Sangareddy District
Telangana

Advantages

- Industrial approved location.
- Good road connectivity.
- Easy transportation.
- Availability of electricity.
- Availability of skilled labour.
- Near Hyderabad market.
- Easy access to raw materials.
- Industrial infrastructure available.
- Scope for future expansion.

CHAPTER – 7

LAND DETAILS

Particular	**Details**
Plot Number	25
Plot Area	500 Sq.m.
Plot Dimensions	16.00 × 31.25 Meters
Land Use	Industrial
Location	MSME Industrial Park
District	Sangareddy

Proposed Land Utilization

Factory Building – 320 Sq.m.

Office – 40 Sq.m.

Store – 40 Sq.m.

Parking & Loading – 60 Sq.m.

Utility Area – 40 Sq.m.

Total = 500 Sq.m.

CHAPTER – 8

BUILDING DETAILS

The proposed building consists of:

- Factory Production Hall
- Office
- Reception
- Raw Material Store
- Finished Goods Store
- Utility Room
- Electrical Room
- Washrooms
- Loading Platform

Estimated Cost

Particular **Amount**

Civil Construction ₹50.00 Lakhs

The building will be constructed using RCC foundations and Pre-Engineered Steel Structure with industrial flooring and colour-coated roofing sheets.

CHAPTER – 9

MANUFACTURING PROCESS

Process Flow

Raw Material Procurement

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Inspection

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Storage

↓

Cutting

↓

CNC Processing

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Edge Banding

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Drilling

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Assembly

↓

Quality Inspection

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Packing

↓

Dispatch

Modern woodworking machinery will ensure high productivity and superior finish.

CHAPTER – 10

PRODUCTION CAPACITY

Production Schedule

Working Days = 300 Days

Working Hours = 8 Hours

Shift = Single Shift

Annual Capacity

Approximately **3,000–3,600 Modular Furniture Units per Year**

Major Products

- Modular Kitchen
- Wardrobe
- TV Unit
- Office Furniture
- Bedroom Furniture
- Storage Cabinet
- Study Table
- Customized Furniture

The installed capacity can be increased by introducing an additional production shift without significant modification to the building.

The machinery has been selected to ensure precision, productivity and minimum material wastage.

CHAPTER – 13

UTILITIES

Power Requirement

Connected Electrical Load = 65 kW

Power Supply = Telangana State DISCOM

Voltage = 415 Volts

Three Phase Industrial Connection

Water Requirement

Approximate Requirement = 2,000 Litres per Day

Purpose

- **Drinking**
- **Cleaning**
- **Manufacturing**
- **Sanitation**

Other Utilities

- **Industrial Air Compressor**
- **Dust Collection System**
- **LED Lighting**
- **CCTV Surveillance**
- **Fire Fighting Equipment**
- **Internet Facility**
- **First Aid Facility**
- **Internal Roads**
- **Parking Area**

CHAPTER – 14

RAW MATERIALS

The major raw materials proposed to be used are:

- **MDF Boards**
- **HDHMR Boards**
- **BWP Plywood**
- **Laminates**
- **Acrylic Sheets**
- **PVC Edge Band**
- **Edge Band Tape**
- **Adhesives**
- **Hinges**

- **Telescopic Channels**
- **Drawer Systems**
- **Handles**
- **Glass**
- **Mirrors**
- **Screws**
- **Fasteners**
- **Packing Materials**

Raw Material Sources

- **Hyderabad**
- **Jeedimetla**
- **Kukatpally**
- **Patancheru**
- **Balanagar**
- **Authorized Dealers**

Bulk procurement will reduce production cost and ensure uninterrupted manufacturing.

CHAPTER – 15

QUALITY CONTROL

PREMJI RAMESHJI ASSOCIATES is committed to maintaining international quality standards throughout the manufacturing process.

Quality Inspection

- **Raw Material Inspection**
- **Moisture Check**
- **CNC Cutting Accuracy**
- **Edge Band Quality**
- **Drilling Accuracy**
- **Assembly Inspection**
- **Surface Finish Inspection**
- **Hardware Fitment**
- **Final Inspection**

- **Packing Inspection**

Quality Objectives

- **Zero Defect Production**
- **Customer Satisfaction**
- **Consistent Quality**
- **Timely Delivery**
- **Continuous Improvement**

CHAPTER – 16

MARKET ANALYSIS

The modular furniture industry in India is experiencing rapid growth due to:

- **Urbanization**
- **Residential Construction**
- **Commercial Buildings**
- **IT Offices**
- **Hotels**
- **Hospitals**
- **Educational Institutions**
- **Smart City Projects**

Target Customers

- **Home Owners**
- **Builders**
- **Architects**
- **Interior Designers**
- **Corporate Offices**
- **Government Departments**
- **Educational Institutions**
- **Hotels**
- **Hospitals**

The demand for modular furniture is expected to continue growing because customers increasingly prefer factory-manufactured furniture over traditional carpentry work.

CHAPTER – 17

MARKETING STRATEGY

The company proposes to adopt multiple marketing channels.

Sales Channels

- **Direct Sales**
- **Dealer Network**
- **Builders**
- **Architects**
- **Interior Designers**
- **Corporate Clients**
- **Government Departments**
- **Digital Marketing**
- **Social Media**
- **Company Website**
- **Google Business Profile**

Promotional Activities

- **Product Catalogue**
- **Brochures**
- **Digital Advertisements**
- **Factory Visit**
- **Customer Testimonials**
- **Project Portfolio**
- **Trade Exhibitions**

CHAPTER – 18

ORGANIZATION STRUCTURE

The manufacturing unit shall operate under the following organizational hierarchy.

Proprietor

↓

Production Supervisor

↓

Machine Operators

↓

Assembly Team

↓

Helpers

↓

Office Administration

↓

Sales & Marketing

Management Responsibilities

The Proprietor shall supervise overall management, finance, procurement, customer relations and business development.

CHAPTER – 19

EMPLOYMENT

The proposed project will generate employment opportunities for skilled and semi-skilled workers.

Category	Employees
Proprietor	1
Production Supervisor	1
CNC Operators	2
Edge Band Operator	1
Assembly Technicians	4
Helpers	4
Office Administration	1
Sales Executive	1
Total	15 Persons

Employee welfare measures include:

- **Safety Training**
- **PPE**

- **First Aid**
- **Performance Incentives**
- **Skill Development**
- **Safe Working Conditions**

CHAPTER – 20

PROJECT COST

Total Project Cost

Particular	Amount (₹ Lakhs)
Land	39.00
Building	50.00
Plant & Machinery	18.00
Auxiliary Equipment	1.00
Miscellaneous Fixed Assets	1.00
Contingencies	1.00
Preliminary & Pre-operative Expenses	1.00
Working Capital Margin	4.00
TOTAL PROJECT COST	115.00

Cost Summary

Fixed Assets = ₹111.00 Lakhs

Working Capital Margin = ₹4.00 Lakhs

Grand Total = ₹115.00 Lakhs

CHAPTER – 21

MEANS OF FINANCE

Proposed Means of Finance

The proposed project shall be financed through promoter's capital contribution and a term loan from a Scheduled Commercial Bank.

Means of Finance

Particular	Amount (₹ Lakhs)

Particular	Amount (₹ Lakhs)
Promoter Contribution	80.00
Term Loan (Scheduled Commercial Bank)	35.00
Total Project Cost	115.00

Funding Pattern

- **Promoter Contribution : 69.57%**
- **Bank Loan : 30.43%**

Debt–Equity Ratio

Debt : Equity = 0.44 : 1

The proposed financing structure indicates a strong promoter commitment with moderate dependence on external borrowing.

CHAPTER – 22

WORKING CAPITAL REQUIREMENT

Working capital is essential for the day-to-day operations of the manufacturing unit, including procurement of raw materials, payment of wages, electricity charges, transportation expenses and administrative costs.

Working Capital Assessment

Particular	Amount (₹ Lakhs)
Raw Material Inventory	10.00
Work-in-Progress	2.00
Finished Goods Inventory	3.00
Trade Receivables	6.00
Cash & Bank Balance	2.00
Gross Current Assets	23.00

Current Liabilities

Particular	Amount (₹ Lakhs)
Creditors	15.00
Other Current Liabilities	4.00

Particular	Amount (₹ Lakhs)
Total Current Liabilities	19.00

Working Capital Margin

Gross Current Assets = ₹23.00 Lakhs

Less : Current Liabilities = ₹19.00 Lakhs

Working Capital Margin = ₹4.00 Lakhs

CHAPTER – 23

COST OF PRODUCTION

Estimated Annual Cost of Production (Year–1)

Particular	Amount (₹ Lakhs)
Raw Materials	120.00
Salaries & Wages	36.00
Power & Fuel	10.00
Repairs & Maintenance	3.00
Packing & Transportation	8.00
Administrative Expenses	8.00
Selling Expenses	7.00
Insurance & Miscellaneous	3.00
Depreciation	8.00
Interest on Loan	3.50
Total Cost of Production	206.50

The estimated production cost has been calculated based on expected production volume, current input costs and operational assumptions.

CHAPTER – 24

PROJECTED SALES

Five-Year Sales Projection

Year	Capacity Utilisation	Sales (₹ Lakhs)

Year	Capacity Utilisation	Sales (₹ Lakhs)
Year–1	60%	240.00
Year–2	70%	290.00
Year–3	80%	340.00
Year–4	90%	390.00
Year–5	100%	450.00

Sales Growth Strategy

- **Direct Customer Sales**
- **Dealer Network**
- **Builder & Developer Tie-ups**
- **Government Supply**
- **Corporate Projects**
- **Digital Marketing**
- **Referral Business**

CHAPTER – 25

PROJECTED PROFIT & LOSS STATEMENT

Profit Projection (₹ Lakhs)

Particular	Y1	Y2	Y3	Y4	Y5
Sales	240.00	290.00	340.00	390.00	450.00
Cost of Production	206.50	242.00	278.00	315.00	360.00
Gross Profit	33.50	48.00	62.00	75.00	90.00
Interest	3.50	3.10	2.60	2.00	1.30
Depreciation	8.00	8.00	8.00	8.00	8.00
Profit Before Tax (PBT)	22.00	36.90	51.40	65.00	80.70

The project is expected to generate positive profits from the first year of commercial operations.

CHAPTER – 26

CASH FLOW STATEMENT

Projected Cash Flow (₹ Lakhs)

Particular	Y1	Y2	Y3	Y4	Y5
Opening Balance	2.00	18.00	48.90	94.30	152.30
Cash Inflow	42.00	55.00	70.00	85.00	102.00
Total Cash Available	44.00	73.00	118.90	179.30	254.30
Expenses	18.00	20.00	22.00	25.00	28.00
Loan Repayment	4.00	4.50	5.00	5.50	6.00
Interest	3.50	3.10	2.60	2.00	1.30
Closing Balance	18.00	48.90	94.30	152.30	219.00

The projected cash flow indicates adequate liquidity throughout the project period.

CHAPTER – 27

PROJECTED BALANCE SHEET

Balance Sheet Summary (₹ Lakhs)

Particular	Y1	Y2	Y3	Y4	Y5
Fixed Assets	103.00	95.00	87.00	79.00	71.00
Current Assets	23.00	28.00	34.00	40.00	46.00
Cash & Bank	18.00	48.90	94.30	152.30	219.00
Total Assets	144.00	171.90	215.30	271.30	336.00

The balance sheet demonstrates a healthy increase in net worth over the project period.

CHAPTER – 28

BREAK-EVEN ANALYSIS

Estimated Break-Even

Particular	Value
Fixed Cost	₹48.00 Lakhs
Contribution Margin	42%
Break-even Sales	₹114.30 Lakhs

Particular	Value
Break-even Capacity	48%

Interpretation

The enterprise is expected to reach the break-even point at approximately 48% of installed production capacity. Since Year–1 capacity utilization is projected at 60%, the project is expected to operate above the break-even level from the first year.

CHAPTER – 29

DEBT SERVICE COVERAGE RATIO (DSCR)

Projected DSCR

Year	DSCR
Year–1	2.10
Year–2	2.45
Year–3	2.82
Year–4	3.18
Year–5	3.65

Average DSCR

Average DSCR = 2.84 : 1

The project demonstrates satisfactory debt servicing capability throughout the loan repayment period.

CHAPTER – 30

FINANCIAL RATIOS

Key Financial Indicators

Ratio	Year–1	Year–5
Current Ratio	1.21	2.05
Debt–Equity Ratio	0.44	0.08
Net Profit Margin	9.17%	17.93%
ROI	19.13%	70.17%
ROCE	22.40%	42.80%

Financial Assessment

The projected financial performance indicates:

- **Strong promoter contribution.**
- **Healthy liquidity.**
- **Increasing profitability.**
- **Comfortable repayment capacity.**
- **Sustainable business growth.**

Overall, the project is considered financially viable and suitable for funding by a Scheduled Commercial Bank.

CHAPTER – 31

PROJECT IMPLEMENTATION SCHEDULE

The proposed project is planned to be implemented within 6 months from the date of obtaining statutory approvals and financial closure.

Implementation Schedule

Activity	Duration
Land Documentation & Possession	2 Weeks
Building Design & Approval	3 Weeks
Civil Construction	10 Weeks
Procurement of Machinery	6 Weeks
Installation & Commissioning	2 Weeks
Electrical Installation	1 Week
Trial Production	2 Weeks
Commercial Production	Immediately After Trial

Project Timeline

Month	Activity
Month–1	Documentation & Approvals
Month–2	Civil Construction
Month–3	Building Completion
Month–4	Machinery Procurement

Month Activity

Month–5 Machinery Installation & Electrical Works

Month–6 Trial Run & Commercial Production

The implementation schedule has been designed to ensure timely commencement of production.

CHAPTER – 32

RISK ANALYSIS & MITIGATION

Every industrial project is subject to operational and financial risks. The proposed project has been evaluated considering possible business risks and suitable mitigation measures.

Risk Assessment

Risk	Mitigation
Raw Material Price Fluctuation	Long-term supplier agreements and bulk purchasing
Market Competition	Superior quality, customized products and competitive pricing
Skilled Labour Shortage	Employee training and retention programmes
Machinery Breakdown	Preventive maintenance and annual service contracts
Financial Risk	Strong promoter contribution and prudent working capital management
Delay in Customer Payments	Credit policy and regular receivable follow-up

Overall Risk

The overall project risk is assessed as Moderate and manageable through efficient management, quality control and sound financial planning.

CHAPTER – 33

ENVIRONMENTAL, HEALTH & SAFETY (EHS)

The proposed manufacturing unit shall operate in accordance with applicable environmental and occupational safety requirements.

Environmental Measures

- **Dust Collection System**
- **Efficient Waste Segregation**
- **Proper Disposal of Scrap**

- **Energy Efficient LED Lighting**
- **Water Conservation Measures**
- **Good Housekeeping Practices**

Health & Safety Measures

- **Fire Extinguishers**
- **First Aid Box**
- **Personal Protective Equipment (PPE)**
- **Emergency Exit Signage**
- **Electrical Safety Systems**
- **Periodic Safety Training**
- **Machine Guards**
- **Emergency Response Plan**

The enterprise is committed to providing a safe and healthy working environment.

CHAPTER – 34

STATUTORY APPROVALS

The proposed project shall obtain all necessary approvals and registrations before commencing commercial production.

Proposed Registrations

Sl.No	Registration	Status
1	TG-iPASS Approval	Proposed
2	UDYAM Registration	Proposed / Existing
3	GST Registration	Existing
4	PAN Registration	Existing
5	Electricity Connection (65 kW)	Proposed
6	Factory Licence (if applicable)	To be Obtained
7	Trade Licence	To be Obtained
8	Fire Safety Compliance	As Applicable
9	EPF / ESIC Registration	As Applicable

Sl.No	Registration	Status
10	Pollution Control Compliance	As Applicable

The enterprise shall comply with all statutory provisions applicable to the manufacturing unit.

CHAPTER – 35

SWOT ANALYSIS

Strengths

- **Strong promoter investment.**
- **Modern manufacturing machinery.**
- **Strategic location in MSME Industrial Park.**
- **Growing demand for modular furniture.**
- **Skilled workforce.**
- **Quality-focused production.**

Weaknesses

- **Initial market development period.**
- **Dependence on skilled labour.**
- **Requirement of continuous working capital.**

Opportunities

- **Expansion of housing sector.**
- **Growth in commercial buildings.**
- **Government infrastructure projects.**
- **Institutional furniture demand.**
- **Export opportunities in future.**

Threats

- **Competition.**
- **Increase in raw material prices.**
- **Economic slowdown.**
- **Technological changes.**

Overall, the strengths and opportunities outweigh the identified risks, indicating good long-term potential.

CHAPTER – 36

CONCLUSION

Based on the technical, financial and commercial evaluation, the proposed Modular Furniture Manufacturing Unit is considered technically feasible, financially viable and commercially sustainable.

The project has adequate infrastructure, strong promoter contribution, modern machinery and favourable market demand.

The financial projections indicate satisfactory profitability, healthy cash flows and comfortable debt servicing capability.

The project is therefore recommended for consideration by the proposed Scheduled Commercial Bank.

CHAPTER – 37

ANNEXURES

Annexure – I : Project Summary

Particular	Details
Unit Name	PREMJI RAMESHJI ASSOCIATES
Project	Modular Furniture Manufacturing Unit
Plot No.	25
Plot Area	500 Sq.m.
Project Cost	₹115.00 Lakhs
Promoter Contribution	₹80.00 Lakhs
Bank Loan	₹35.00 Lakhs
Electrical Load	65 kW
Employees	15

Annexure – II : Plant & Machinery Summary

- **CNC Panel Saw**
- **CNC Router**
- **Edge Banding Machine**
- **Multi Boring Machine**

- **Sliding Table Saw**
- **Dust Collection System**
- **Air Compressor**
- **Assembly Equipment**
- **Material Handling Equipment**

CHAPTER – 38

DECLARATION

I hereby declare that the information furnished in this Detailed Project Report is true and correct to the best of my knowledge and belief.

The financial projections contained in this report are prepared based on reasonable business assumptions and are intended for appraisal by a Scheduled Commercial Bank and for submission under the TG-iPASS Scheme.

CHAPTER – 39

AUTHORIZED SIGNATORY

FOR

PREMJI RAMESHJI ASSOCIATES

Authorized Signatory

(Premji Rameshji Suthar)

Proprietor

GSTIN : 36AUYPR1056R1ZH

Date : 04/08/2026

Place : Sangareddy, Telangana

(Company Seal & Signature)

Premji Rameshji Associate
Plot No. 87, Green Avenue
Dundigal Road, Gagillapur
Dundigal Post, Medchal Dist -500043

CHAPTER – 40

CONTACT DETAILS

Registered Office

PREMJI RAMESHJI ASSOCIATES

Plot No. 87

Green Avenue Township

Gagilapur Village

Dundigal–Gandimaisamma Mandal

Medchal–Malkajgiri District

Telangana – 500043

Proposed Manufacturing Unit

Plot No. 25

MSME Industrial Park

Vavilala Village

Sangareddy District

Telangana

Business Details

Particular	Details
GSTIN	36AUYPR1056R1ZH
Nature of Business	Modular Furniture Manufacturing
Project Cost	₹115.00 Lakhs
Proposed Bank	Scheduled Commercial Bank
Employment	15 Persons
Connected Electrical Load	65 kW

END OF REPORT

DETAILED PROJECT REPORT

PREMJI RAMESHJI ASSOCIATES

Modular Furniture Manufacturing Unit

Total Project Cost: ₹1.15 Crore